



THE CHARTERED INSURANCE INSTITUTE

ADVANCED DIPLOMA

APRIL 2006 EXAMINATION PAPER

**UNIT 556
LIFE AND DISABILITY CLAIMS**

INSTRUCTIONS

- Three hours are allowed for this paper.
- Fill in the information requested on the answer booklet and on form B.
- You are allowed to write on the inside pages of this question paper but you must **NOT** write your name, candidate number, PIN or any other identification anywhere on this question paper.
- **The answer booklet and this question paper must be handed in personally by you to the invigilator before you leave the examination. Failure to do this may result in your paper not being marked and you may be prevented from entering this examination in future.**

READ THE INSTRUCTIONS OVERLEAF CAREFULLY BEFORE ANSWERING ANY QUESTIONS.

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556 – Life and disability claims

CANDIDATE INSTRUCTIONS

READ THE INSTRUCTIONS BELOW BEFORE ANSWERING ANY QUESTIONS

Three hours are allowed for this paper. You should answer all questions in Part I, the compulsory question in Part II and three out of the five questions in Part III.

The paper carries a total of 200 marks, as follows:

Part I	8 compulsory questions	48 marks
Part II	1 compulsory question	50 marks
Part III	3 questions selected from 5	102 marks

You are advised to spend no more than 45 minutes on Part I.

Where a question is split into parts (a), (b) etc, marks for each part are only shown if they are split unevenly between the parts and you should spend your time in accordance with the allocation.

Answer each question on a new page. If a question has more than one part, leave several lines blank after each part.

It is important to show each step in any calculation, even if you have used a calculator.

You may find it helpful in some places to make rough notes in the answer booklet, if you do this, you should cross through these notes before you hand in the booklet.

PART I

**Answer ALL questions in Part I.
Each question is worth six marks.**

Note form is acceptable where this conveys all the necessary information.

1. Explain the terms 'well differentiated' and 'poorly differentiated' in the context of a histology report.
2.
 - (a) What are the three usual scenarios where HIV/AIDS might be covered under a critical illness policy?
 - (b) For one of these scenarios outline the requirements of the definition.
3. What is a pre-existing medical condition exclusion clause? When would it be used?
4. What steps could an insurer take when actuarial investigation shows that a portfolio of business is loss making?
5. Briefly describe epilepsy, its symptoms and causes.
6. Briefly explain how a viatical settlement operates.

7. Outline the nature and typical course of ulcerative colitis.
8. What are the three rates of incapacity benefit called? What medical evidence is required to support the payment of each level of incapacity benefit?

FOR USE WITH QUESTION 9 ONLY

Extract from proposal form.
Completed 29 September 2003

GOOD LIFE INSURANCE COMPANY PROPOSAL FORM STAND ALONE CRITICAL ILLNESS POLICY

Name:	Ian Smith
Address:	46 Vineyards Road Maidenhead Berkshire SL4 2TJ
Date of birth:	2 January 1964
Have you smoked tobacco in the last 12 months?	No
How many units of alcohol do you drink in a week?	Teetotal
Have you in the last five years lived (or do you have any intention of living) outside the UK or European Union?	No
Occupation:	Clerical – civil servant

Mr. Smith made no medical disclosures on his application form.

Extract of stand alone policy terms and conditions from the Good Life Insurance Company.

Change of occupation

Where the policyholder changes their occupation from that advised in the proposal form, then the policyholder shall be under an obligation to notify Good Life, in writing, at the time of the change. Good Life will then assess claims for any of the benefits on the basis of the ability of the life assured to carry out the occupation he/she was doing immediately prior to the claim being made for any of the benefits.

Notification of claims

All claims must be notified within three months of the insured condition taking place.

Definition of stroke

Standard ABI definition – 2002 Statement of Best Practice for Critical Illness Cover.

Exclusions

- HIV and AIDS.
- Residency.
- War and civil commotion.
- Failure to follow medical advice.
- Drug and alcohol abuse.

PART II

Compulsory question.

This question is worth 50 marks.

9. Ian Smith is a 42-year-old South African who has been living in the UK since 1999. He has worked as a probation officer since arriving in the UK, having previously worked as a police officer in South Africa. He is single and has never been married.

He took out a stand alone critical illness policy with Good Life Insurance Company in 2003 and the policy details are shown below.

- Policy commencement date – 5 October 2003.
- Sum assured – £112,000.
- Single life.
- Issued at ordinary rates – with no medical evidence obtained.
- The policy covers both the core and additional critical illness conditions specified by the ABI Statement of Best Practice for Critical Illness Cover, but no others.
- Survival period – 30 days from date of diagnosis.
- Total permanent disability cover granted on own occupation definition.

He called an ambulance and was taken to the Accident and Emergency Department of his local hospital on 2 November 2005 complaining of a severe headache, nausea and loss of feeling in his left side. He was admitted with a suspected diagnosis of subarachnoid haemorrhage.

He rang to advise Good Life of his claim on 2 April 2006 and to ask for a claim form.

Before answering the questions below, please review the two extracts on page 6:

- extract from the proposal form;
- extract from the policy terms and conditions.

- (a) How do strokes arise and what symptoms do they typically cause?
(15 marks)
- (b) Explain the requirements for a valid claim under the policy stroke definition and the key issues that a claims assessor may be faced with when determining whether or not the definition has been satisfied.
(15 marks)
- (c) Apart from the satisfaction of the stroke definition what other factors would you want to investigate about this claim?
(15 marks)
- (d) How would you deal differently with this claim (if at all) had the claimant died 19 days after his 'stroke'?
(5 marks)

PART III

**Answer THREE of the following FIVE questions.
Each question is worth 34 marks.**

10. (a) What is multiple sclerosis (MS)? What forms might it take? (16 marks)
- (b) Provide a detailed analysis of the circumstances in which MS would give rise to:
- (i) a valid critical illness claim;
- (ii) a valid income protection claim. (18 marks)
11. When and why would you offer a commuted value on an income protection claim?
- What factors would you need to take into account when calculating the amount to offer?
12. (a) Briefly outline the nature and effects of angina. (8 marks)
- (b) What are the treatment options for this disease? (13 marks)
- (c) Following successful treatment what are the main issues to be addressed for an income protection claimant returning to work? (13 marks)
13. Why, and how, would you develop an ongoing claims management plan once an income protection claim has been accepted?
14. Explain why the concepts of materiality and inducement are important when considering non-disclosure and misrepresentation. Illustrate your answer with case law.